

APPLICATION PROCESS

Stage 1: Application

Applicants must submit an application through the sedfa website, including all required supporting documentation demonstrating eligibility, institutional capacity, and experience in financing construction SMEs.

Stage 2: Pre-Screening

Submitted applications will undergo a basic assessment against the qualifying criteria and eligibility requirements. Applications that meet the pre-screening criteria will proceed to the next stage.

Stage 3: Due Diligence

During the due diligence stage, applications will be assessed based on financial capability, institutional capacity, systems and processes, developmental impact potential, and ability to support SMEs in the construction sector.



Get In Touch

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OVERVIEW

The Construction Industry Development Board (CIDB), in collaboration with the Small Enterprise Development and Finance Agency (SEDFA), an agency of the Department of Small Business Development (DSBD), will launch the Construction Fund.

The construction sector in South Africa plays a critical role in economic growth, infrastructure development, and job creation. However, many Small and Medium Enterprises (SMEs) in the sector face significant funding and operational challenges that limit their ability to grow and participate fully in the industry.

The Construction Fund is established to provide developmental funding and support to SMEs operating across the construction value chain, enabling them to expand their operations, create jobs, and contribute to the transformation of the sector.

SEDFA's mandate is to provide financial products and services to qualifying SMEs, while CIDB is mandated to develop and regulate the construction industry to promote social and economic growth while maintaining competitive industry standards.

This collaboration represents a strong inter-governmental partnership aimed at strengthening SMEs in the construction sector and ensuring their meaningful participation in South Africa's economic development.

OBJECTIVES

- Promote growth and transformation within the construction industry.
- Address funding gaps and financial constraints faced by SMEs.
- Support previously disadvantaged enterprises to participate meaningfully in the sector.
- Stimulate job creation and job sustainability within the construction industry.
- Strengthen the capacity and competitiveness of SMEs across the construction value chain.
- Contribute to inclusive economic development and infrastructure delivery.

FUNDING FOCUS AREAS

1. Roads & Civil Construction

Funding for enterprises involved in the development and maintenance of roads, bridges, water infrastructure, and other civil engineering projects.

2. Built Environment

Support for SMEs participating in the construction of residential, commercial, and industrial buildings as well as related infrastructure development.

3. Material Manufacturing

Funding support for enterprises involved in the production and supply of construction materials essential for infrastructure and building projects.

4. Electrical Construction

Support for SMEs involved in electrical installations, energy infrastructure, and related electrical construction services.

ELIGIBILITY CRITERIA

The proposals must meet the following criteria for RFIs:

- The applicant must be a juristic person legally constituted with a fixed physical address, as defined in the Companies Act;
- Preference will be given to RFIs to > or = to 51% black ownership;
- The project must demonstrate ability to generate the level of developmental impact as stated in the SEDFA Corporate Plan such as job maintenance and/or creation and economic empowerment.
- Financed operations must be conducted within the borders of South Africa
- Applicant must be a non-banking financial institution (intermediary) and demonstrate the capability and capacity to provide credit lending instruments to SMEs;
- The applicant must be registered as a credit provider by the NCR
- Track record in financing construction MSMEs and related projects or construction order book
- Demonstrate ability in assisting SMEs in negotiating discounts with material suppliers
- Ensure SME's to be funded are compliant with all applicable laws governing the construction sector
- All funded SME's must employ South African Citizens only
- Ensure SME's to be funded are CIDB registered
- Must be able to collect and report meaningful operational trends of the SME's which may lead to informed decisions on SME's in the construction sectors interventions
- Proof of 20% match funding for value applied for or an existing lending book